

EQUITY RESEARCH · COMPANY DEEP DIVE

Walmart Inc. (WMT.US)

Consumer Defensive · Discount Stores  
Large Cap (>\$200B) · Report Date: June 12, 2026  
Latest financials: Q1 FY2026 · Model data as of 2026-06-12

SELL

Blended Target: \$99.75

DCF + Comps + Analyst (see cross-check table)

Implied upside: -17.6%

Price (Jun): \$121.04

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$99.75 (-17.6% vs \$121.04); multi-method valuation after outlier checks.
- Modest revenue growth; compressed margins; strong roe; positive fcf generation
- Moderate revenue expansion (7.3% YoY)

INVESTMENT THESIS / EXECUTIVE SUMMARY

Walmart Inc. (WMT) — Consumer Defensive. Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates... **SELL** rating; blended target \$99.75. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

| Item          | Value              | Item         | Value      |
|---------------|--------------------|--------------|------------|
| Market Cap    | \$963.25B          | Shares Out.  | 7958.1M    |
| 52-Week Range | \$93.62 – \$135.16 | P/E (TTM)    | 42.6x      |
| P/B           | 9.7x               | Beta         | 0.60       |
| Avg Volume    | 20.54M             | Analyst Rec. | Strong_Buy |
| Revenue (TTM) | \$725.30B          | Rev Growth   | +7.3%      |
| Op. Margin    | 4.2%               | FCF (TTM)    | \$14.92B   |



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

| Metric                  | FY 2025A | FY 2026A | FY 2027E | FY 2028E | FY 2029E |
|-------------------------|----------|----------|----------|----------|----------|
| Revenue (\$M)           | 680,985  | 713,163  | 765,224  | 810,066  | 849,370  |
| Revenue Growth (%)      | N/A      | 4.7%     | 7.3%     | 5.9%     | 4.9%     |
| Net Income (\$M)        | 19,436   | 21,893   | 23,491   | 24,868   | 26,074   |
| Net Income Growth (%)   | N/A      | 12.6%    | 7.3%     | 5.9%     | 4.9%     |
| Gross Margin (%)        | 24.9%    | 24.9%    | 25.0%    | 25.0%    | 25.0%    |
| Net Margin (%)          | 2.9%     | 3.1%     | 3.1%     | 3.1%     | 3.1%     |
| ROE (%)                 | 21.4%    | 22.0%    | 23.6%    | 22.6%    | 22.6%    |
| EPS (\$)                | 2.44     | 2.75     | 2.95     | 3.12     | 3.28     |
| Book Value / Share (\$) | 11.44    | 12.52    | 12.52    | 13.80    | 14.49    |
| P/E (x)                 | 49.56    | 44.00    | 41.00    | 38.73    | 36.94    |
| P/B (x)                 | 10.58    | 9.67     | 9.67     | 8.77     | 8.35     |
| Dividend Yield (%)      | 82.0%    | 82.0%    | 82.0%    | 82.0%    | 82.0%    |

Page 2 of 2 · Walmart Inc. (WMT) · Valuation · Industry · Peers · Data as of 2026-06-12 · Q1 FY2026

VALUATION CROSS-CHECK

| Valuation Method                              | Implied Price | vs. Current | Weight in Target | Notes                             |
|-----------------------------------------------|---------------|-------------|------------------|-----------------------------------|
| DCF (Simon FCFE)                              | \$81.93       | -32.3%      | 28%              | Included in blend                 |
| Comps — P/E (peer median)                     | \$69.05       | -42.9%      | —                | Peer median P/E 24.3x             |
| Comps — EV/EBITDA (peer median)               | \$103.96      | -14.1%      | —                | Peer median 19.0x                 |
| Comps — Blended (avg. of available multiples) | \$86.51       | -28.5%      | 44%              | Anchor multiple-based value       |
| Analyst consensus (Yahoo Finance)             | \$138.37      | +14.3%      | 28%              | Included in blend                 |
| Blended target (weighted)                     | \$99.75       | -17.6%      | 100%             | DCF 28% + Comps 44% + Analyst 28% |
| Audit (≥30% vs price)                         | —             | —           | —                | Triggered ( upside  ≥ 30%)        |

DCF VALUATION SUMMARY (SIMON FCFE)

| Item                | Value     |
|---------------------|-----------|
| Ke (cost of equity) | 7.50%     |
| Terminal g          | 4.00%     |
| FCFE growth         | 12.00%    |
| Base FCFE           | \$14.92B  |
| PV explicit (5Y)    | \$87.64B  |
| PV terminal         | \$564.38B |
| Equity value (adj.) | \$652.02B |
| Implied price       | \$81.93   |
| vs. current         | -32.3%    |

INDUSTRY ANALYSIS

1. Industry Overview

Walmart Inc. engages in the operation of retail and wholesale stores and clubs, ecommerce websites, and mobile applications worldwide. The company operates through three segments: Walmart U.S., Walmart International, and Sam's Club U.S. It operates supercenters, supermarkets, warehouse clubs, cash and carry stores, and discount stores under Walmart and Walmart Neighborhood Market brands;...

2. Key Trends

- Moderate revenue expansion (7.3% YoY)
- Defensive profile (β=0.60)
- Sector: Consumer Defensive | Industry: Discount Stores

3. Risk Factors

- Premium valuation (P/E: 42.6x)

COMPETITOR ANALYSIS

| Ticker | Company                | Market Cap | P/E   | EV/EBITDA | Net Margin | Rev Growth |
|--------|------------------------|------------|-------|-----------|------------|------------|
| PG     | Procter & Gamble Compa | \$348.38B  | 21.9x | 14.8x     | 19.2%      | +7.4%      |
| KO     | Coca-Cola Company (The | \$355.47B  | 26.0x | 23.2x     | 27.8%      | +12.1%     |
| PEP    | Pepsico, Inc.          | \$197.21B  | 22.6x | 12.8x     | 9.1%       | +8.5%      |
| COST   | Costco Wholesale Corpo | \$435.65B  | 49.4x | 31.3x     | 3.0%       | +21.5%     |
| WMT*   | Walmart Inc.           | \$963.25B  | 42.6x | 23.0x     | 3.1%       | +7.3%      |

\* Subject company. Commands premium p/e vs peers; below-peer profitability. Modest revenue growth; compressed margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.